



## Clerk Integration & Subscription Tier Proposal

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### 1. Why Clerk?

Clerk is a hosted authentication and billing platform. Rather than integrating two separate SaaS tools (e.g. Auth0 + Stripe directly), Clerk handles both auth and subscription management in a single service, with Stripe connected under the hood. This reduces the number of external dependencies, webhooks, and synchronisation code needed to run the platform.

#### What Clerk manages for us:

- ✓ User authentication (email/password, social login, MFA)
- ✓ Session management and JWT tokens
- ✓ Subscription plans — free trial, paid tiers
- ✓ Free trial logic (one-time per user, card required upfront)
- ✓ Plan upgrades, downgrades and cancellations
- ✓ Pre-built billing portal — users self-manage their plan
- ✓ Feature gating (server-side plan checks via `has()` helper)
- ✓ Stripe connection — Clerk syncs users and payments automatically

#### What our app still manages:

- ! Video credit counter (how many videos used this month)
- ! Credit rollover logic (unused credits carry forward up to 1 month)
- ! Per-video processing, transcript storage and output files
- ! Collections, folders, share links and other product features

*Note: Clerk does not natively support usage-based credit counters. The credits system (rolling monthly allowance) will be a lightweight custom layer in our database, checked against the user's active Clerk plan.*

## 2. Free Trial Setup

Clerk has native free trial support. The following rules apply regardless of which tier model is chosen:

- **One-time only** — a user who has previously paid or used a trial cannot start another.
- **Card required upfront** — reduces abuse; Clerk enforces this automatically.
- **Trial period** — proposed: allow 3 full video transcriptions.
- **Auto-conversion** — at trial end, Clerk charges the card and moves the user to the paid plan seamlessly.
- **Trial extension** — can be extended manually (1-365 days) from the Clerk dashboard if needed.
- **Feature visibility** — while on trial, the user sees all features of the paid tier they trialled. This creates the upgrade hook — they experience the product fully before deciding to continue.

### Proposed trial configuration:

| Setting                  | Value                     | Rationale                                               |
|--------------------------|---------------------------|---------------------------------------------------------|
| Trial videos             | 3 videos                  | Enough to see real value; not enough to misuse for free |
| Card required            | Yes                       | Deters abuse; enables seamless conversion               |
| Trial tier               | Pro-tier features         | Users experience the best version of the product        |
| Post-trial default       | Auto-charge paid plan     | Reduces churn from forgetting to upgrade                |
| Credit rollover on trial | No — trial credits expire | Keeps trial clean and separate from paid                |

### 3. Tier Model Options

Four different tier model proposals are presented below. Each follows the same principle: the free trial gives access to Pro-tier features for 3 videos, then the user chooses a plan. None of these are final — they are starting points for review and discussion.

Feature key used in tables below:

✓ Included      ✗ Not included      ~ Limited / partial

#### Model A — Classic Three-Tier + Unlimited

A familiar SaaS structure. Low entry price to capture casual users, mid tier for regular use, unlimited for power users. The Basic tier is intentionally lean to push users toward Pro.

| Feature                 | Starter (Free Trial) | Basic £5/mo | Pro £14/mo | Unlimited £29/mo |
|-------------------------|----------------------|-------------|------------|------------------|
| Monthly video credits   | 3 (trial only)       | 10 vids/mo  | 40 vids/mo | Unlimited        |
| Credit rollover         | ✗                    | 7 days      | 30 days    | ✓                |
| Transcript viewer       | ✓                    | ✓           | ✓          | ✓                |
| Timestamped sentences   | ✓                    | ✓           | ✓          | ✓                |
| Screenshots of URLs     | ✓                    | ✗           | ✓          | ✓                |
| ZIP export              | ✓                    | ✗           | ✓          | ✓                |
| Notes panel             | ✓                    | ✓           | ✓          | ✓                |
| Transcript search       | ✓                    | ✗           | ✓          | ✓                |
| Collections / folders   | ✗                    | ✗           | ✓          | ✓                |
| Share links             | ✗                    | ✗           | ✓          | ✓                |
| AI chapter markers      | ✓                    | ✗           | ✗          | ✓                |
| Scheduled transcription | ✗                    | ✗           | ✗          | ✓                |
| Transcript correction   | ✗                    | ✗           | ✓          | ✓                |
| Priority processing     | ✗                    | ✗           | ✗          | ✓                |

Upgrade hooks: Screenshots and ZIP locked behind Pro. AI chapters reserved for Unlimited. Basic is intentionally thin.

## Model B — Generous Free Tier, Fewer Paid Tiers

A permanent free tier (not just a trial) drives organic word-of-mouth growth. Only two paid tiers simplifies the decision. The free tier is genuinely useful but clearly limited on volume.

| Feature                 | Free (Permanent)  | Creator £9/mo | Pro £22/mo |
|-------------------------|-------------------|---------------|------------|
| Monthly video credits   | 3 vids/mo forever | 25 vids/mo    | Unlimited  |
| Credit rollover         | ✗                 | 14 days       | ✓          |
| Transcript viewer       | ✓                 | ✓             | ✓          |
| Timestamped sentences   | ✓                 | ✓             | ✓          |
| Screenshots of URLs     | ✗                 | ✓             | ✓          |
| ZIP export              | ✗                 | ✓             | ✓          |
| Notes panel             | ✓                 | ✓             | ✓          |
| Transcript search       | ✗                 | ✓             | ✓          |
| Collections / folders   | ✗                 | 5 max         | ✓          |
| Share links             | ✗                 | ✓             | ✓          |
| AI chapter markers      | ✗                 | 5/mo          | ✓          |
| Scheduled transcription | ✗                 | ✗             | ✓          |
| Transcript correction   | ✗                 | ✓             | ✓          |
| Priority processing     | ✗                 | ✗             | ✓          |

Upgrade hooks: Free locks screenshots, ZIP and search. Creator caps collections and AI chapters.

## Model C — Identity-Led Naming (Explorer / Creator / Studio / Enterprise)

Names reflect the user's role, not just a price band. Explorer feels non-threatening for new users. Studio signals professional use. Enterprise is future-ready for team accounts.

| Feature                 | Explorer (Trial) | Creator £7/mo  | Studio £19/mo | Enterprise £45/mo |
|-------------------------|------------------|----------------|---------------|-------------------|
| Monthly video credits   | 3 (trial)        | 15 vids/mo     | 60 vids/mo    | Unlimited         |
| Credit rollover         | ✗                | 7 days         | 30 days       | ✓                 |
| Transcript viewer       | ✓                | ✓              | ✓             | ✓                 |
| Timestamped sentences   | ✓                | ✓              | ✓             | ✓                 |
| Screenshots of URLs     | ✓                | ✗              | ✓             | ✓                 |
| ZIP export              | ✓                | No screenshots | ✓             | ✓                 |
| Notes panel             | ✓                | ✓              | ✓             | ✓                 |
| Transcript search       | ✓                | ✗              | ✓             | ✓                 |
| Collections / folders   | ✗                | ✗              | ✓             | ✓                 |
| Share links             | ✗                | ✗              | ✓             | ✓                 |
| AI chapter markers      | ✓                | ✗              | ✓             | ✓                 |
| Scheduled transcription | ✗                | ✗              | 3 channels    | ✓                 |
| Transcript correction   | ✗                | ✓              | ✓             | ✓                 |
| Team workspace          | ✗                | ✗              | ✗             | ✓                 |
| Priority processing     | ✗                | ✗              | ✗             | ✓                 |

Upgrade hooks: Creator feels cut-down (no screenshots in ZIP, no search). Studio is the intended sweet spot. Enterprise adds team features for future B2B expansion without needing to build it now.

## Model D — Base Plans + Credit Top-Up Packs

Lower base subscription cost; users buy extra credit packs if they exceed their allowance. Reduces churn from occasional heavy users.

Note: top-ups require a small amount of custom Stripe work alongside Clerk.

| Feature                 | Free Trial | Lite £6/mo | Regular £15/mo | Power £35/mo |
|-------------------------|------------|------------|----------------|--------------|
| Monthly video credits   | 3 (trial)  | 8 vids/mo  | 35 vids/mo     | Unlimited    |
| Extra credit top-ups    | ✗          | +5 for £2  | +10 for £3     | N/A          |
| Credit rollover         | ✗          | 7 days     | 30 days        | ✓            |
| Transcript viewer       | ✓          | ✓          | ✓              | ✓            |
| Timestamped sentences   | ✓          | ✓          | ✓              | ✓            |
| Screenshots of URLs     | ✓          | ✗          | ✓              | ✓            |
| ZIP export              | ✓          | ✓          | ✓              | ✓            |
| Notes panel             | ✓          | ✓          | ✓              | ✓            |
| Transcript search       | ✓          | ✗          | ✓              | ✓            |
| Collections / folders   | ✗          | ✗          | ✓              | ✓            |
| Share links             | ✗          | ✗          | ✓              | ✓            |
| AI chapter markers      | ✓          | ✗          | 5/mo           | ✓            |
| Scheduled transcription | ✗          | ✗          | ✗              | ✓            |
| Transcript correction   | ✗          | ✓          | ✓              | ✓            |
| Priority processing     | ✗          | ✗          | ✗              | ✓            |

Upgrade hooks: Lite locks screenshots and search. Credit top-ups give a pressure valve — casual users stay on Lite with occasional extras; heavy users naturally migrate to Regular.

## 4. Model Comparison at a Glance

|                     | Model A       | Model B    | Model C   | Model D     |
|---------------------|---------------|------------|-----------|-------------|
| Tier count          | 4             | 3          | 4         | 4           |
| Permanent free tier | ✗             | ✓          | ✗         | ✗           |
| Credit top-ups      | ✗             | ✗          | ✗         | ✓           |
| Lowest paid price   | £5/mo         | £9/mo      | £7/mo     | £6/mo       |
| Mid tier price      | £14/mo        | £22/mo     | £19/mo    | £15/mo      |
| Top tier price      | £29/mo        | N/A        | £45/mo    | £35/mo      |
| Team / B2B ready    | ✗             | ✗          | ✓         | ✗           |
| Simplest for user   | Medium        | ✓          | Medium    | Complex     |
| Revenue potential   | Medium        | Medium     | ✓         | ✓           |
| Best fit for        | Standard SaaS | Growth-led | Pro brand | Power users |

## 5. Recommended Starting Point

Based on the goal of driving upgrades while keeping the product accessible, **Model C (Explorer / Creator / Studio / Enterprise)** is the strongest starting point. The naming is aspirational and positions the product as a professional tool. The Studio tier (£19/mo) is the intended landing zone for most paying users — it includes all core features and is priced to feel fair against the value delivered. Enterprise is a placeholder for future team/B2B expansion and does not need to be built immediately.

If a permanent free tier is preferred to drive organic growth, **Model B** is the simplest and cleanest option — two paid tiers reduces decision fatigue for the user.

*All prices shown are indicative in GBP and are not final. Review and adjust based on competitive research and target audience before launch.*

# 6. Cost & Revenue Breakdown

The tables below show projected monthly income, costs, and profit for each tier model at different paying subscriber counts. All figures are in GBP. Assumptions are listed below.

## Cost assumptions:

| Item                  | Rate              | Notes                                                    |
|-----------------------|-------------------|----------------------------------------------------------|
| Server / hosting      | £25/mo fixed      | Covers up to ~500 users. Add £25/mo per additional 500.  |
| Clerk platform        | £0/mo             | Free up to 50,000 MAU. Paid plan only needed at scale.   |
| Payment processing    | ~2.1% of revenue  | Clerk 0.7% + Stripe ~1.4% transaction fees.              |
| AI chapter markers    | £0.01/use (Haiku) | Assumed 30% of users run AI chapters on avg 5 videos/mo. |
| Storage / bandwidth   | ~£0.002/user/mo   | Negligible at early scale.                               |
| Total variable / user | ~£0.05/user/mo    | Blended average across all tiers and feature usage.      |

Tier mix assumption: 20% on lowest paid tier, 55% on mid tier, 25% on top tier. This gives the blended ARPU (average revenue per user) used in projections below.

## Model A — Blended ARPU: £15.95/mo

Tier mix: Basic £5 / Pro £14 / Unlimited £29

|                | 5 users | 10 users | 25 users | 50 users | 100 users | 250 users | 500 users | 1000 users |
|----------------|---------|----------|----------|----------|-----------|-----------|-----------|------------|
| Monthly income | £80     | £160     | £399     | £798     | £1,595    | £3,988    | £7,975    | £15,950    |
| Server cost    | £25     | £25      | £25      | £25      | £25       | £25       | £25       | £50        |
| Variable cost  | £0.25   | £0.50    | £1.25    | £2.50    | £5.00     | £12.50    | £25.00    | £50.00     |
| Payment fees   | £1.67   | £3.35    | £8.37    | £16.75   | £33.50    | £83.74    | £167.48   | £334.95    |
| Total costs    | £27     | £29      | £35      | £44      | £63       | £121      | £217      | £435       |
| Net profit     | £53     | £131     | £364     | £753     | £1,532    | £3,866    | £7,758    | £15,515    |
| Margin %       | 66%     | 82%      | 91%      | 94%      | 96%       | 97%       | 97%       | 97%        |

## Model B — Blended ARPU: £16.80/mo

Tier mix: Creator £9 / Pro £22

|                | 5 users | 10 users | 25 users | 50 users | 100 users | 250 users | 500 users | 1000 users |
|----------------|---------|----------|----------|----------|-----------|-----------|-----------|------------|
| Monthly income | £84     | £168     | £420     | £840     | £1,680    | £4,200    | £8,400    | £16,800    |
| Server cost    | £25     | £25      | £25      | £25      | £25       | £25       | £25       | £50        |
| Variable cost  | £0.25   | £0.50    | £1.25    | £2.50    | £5.00     | £12.50    | £25.00    | £50.00     |
| Payment fees   | £1.76   | £3.53    | £8.82    | £17.64   | £35.28    | £88.20    | £176.40   | £352.80    |
| Total costs    | £27     | £29      | £35      | £45      | £65       | £126      | £226      | £453       |
| Net profit     | £57     | £139     | £385     | £795     | £1,615    | £4,074    | £8,174    | £16,347    |
| Margin %       | 68%     | 83%      | 92%      | 95%      | 96%       | 97%       | 97%       | 97%        |



Model C — Blended ARPU: £23.10/mo

Tier mix: Creator £7 / Studio £19 / Enterprise £45

|                | 5 users | 10 users | 25 users | 50 users | 100 users | 250 users | 500 users | 1000 users |
|----------------|---------|----------|----------|----------|-----------|-----------|-----------|------------|
| Monthly income | £116    | £231     | £578     | £1,155   | £2,310    | £5,775    | £11,550   | £23,100    |
| Server cost    | £25     | £25      | £25      | £25      | £25       | £25       | £25       | £50        |
| Variable cost  | £0.25   | £0.50    | £1.25    | £2.50    | £5.00     | £12.50    | £25.00    | £50.00     |
| Payment fees   | £2.43   | £4.85    | £12.13   | £24.26   | £48.51    | £121.28   | £242.55   | £485.10    |
| Total costs    | £28     | £30      | £38      | £52      | £79       | £159      | £293      | £585       |
| Net profit     | £88     | £201     | £539     | £1,103   | £2,231    | £5,616    | £11,257   | £22,515    |
| Margin %       | 76%     | 87%      | 93%      | 96%      | 97%       | 97%       | 97%       | 97%        |

Model D — Blended ARPU: £18.20/mo

Tier mix: Lite £6 / Regular £15 / Power £35

|                | 5 users | 10 users | 25 users | 50 users | 100 users | 250 users | 500 users | 1000 users |
|----------------|---------|----------|----------|----------|-----------|-----------|-----------|------------|
| Monthly income | £91     | £182     | £455     | £910     | £1,820    | £4,550    | £9,100    | £18,200    |
| Server cost    | £25     | £25      | £25      | £25      | £25       | £25       | £25       | £50        |
| Variable cost  | £0.25   | £0.50    | £1.25    | £2.50    | £5.00     | £12.50    | £25.00    | £50.00     |
| Payment fees   | £1.91   | £3.82    | £9.55    | £19.11   | £38.22    | £95.55    | £191.10   | £382.20    |
| Total costs    | £27     | £29      | £36      | £47      | £68       | £133      | £241      | £482       |
| Net profit     | £64     | £153     | £419     | £863     | £1,752    | £4,417    | £8,859    | £17,718    |
| Margin %       | 70%     | 84%      | 92%      | 95%      | 96%       | 97%       | 97%       | 97%        |

Break-even summary:

| Model   | Break-even point | Revenue at break-even | Costs at break-even |
|---------|------------------|-----------------------|---------------------|
| Model A | 2 paying users   | £31.90/mo revenue     | £25.77/mo costs     |
| Model B | 2 paying users   | £33.60/mo revenue     | £25.81/mo costs     |
| Model C | 2 paying users   | £46.20/mo revenue     | £26.07/mo costs     |
| Model D | 2 paying users   | £36.40/mo revenue     | £25.86/mo costs     |

These figures assume the tier mix and variable cost estimates above. Actual break-even will vary based on real usage patterns, AI chapter adoption rate, and final hosting configuration.